

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

Generated on 2026-07-05

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: ALR Technologies Acquisition of CGM Medical Technology

[ALR Technologies Announces Strategic Acquisition of CGM Medical Technology for US\\$45 Million & 200M Shares](#)

- Deal Size: \$45 million + 200 million shares
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: ALR Technologies SG Ltd (OTC: ALRTF) is a diabetes management company focused on developing continuous glucose monitoring technologies. CGM Medical Technology specializes in medical devices for diabetes management.
- Date Announced: June 30, 2026
- Strategic Rationale: The acquisition aims to integrate CGM Medical's technology and expertise into ALR Technologies' operations, enhancing its product offerings and operational efficiency. This move is expected to increase margins and provide full control over product development, aligning with ALR's long-term strategy to dominate the diabetes management market.
- Risk Analysis: Potential risks include integration challenges, regulatory approvals, and market competition. ALR must ensure successful integration of CGM Medical's operations and technology while navigating regulatory landscapes in both Singapore and China.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The deal's valuation is based on strategic synergies rather than traditional financial multiples, focusing on long-term growth potential in the diabetes management sector.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

Deal 2: B&R Technology Merger Corp. IPO

[B&R Technology Merger files for \\$325M IPO targeting AI sector](#)

- Deal Size: \$325 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: IPO
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: B&R Technology Merger Corp. is a newly formed SPAC intending to acquire a business within the AI technology sector. The underwriter for the IPO is Citigroup, which adds credibility to the offering.
- Date Announced: July 2, 2026
- Strategic Rationale: The IPO aims to raise capital for acquiring an AI-focused technology business, tapping into the growing demand for AI solutions across various industries. The involvement of Citigroup is expected to attract institutional investors, enhancing the potential for a successful merger.
- Risk Analysis: Risks include market volatility, the challenge of identifying a suitable acquisition target, and potential regulatory hurdles associated with SPAC transactions. The success of the IPO and subsequent acquisition will depend on market conditions and investor sentiment towards AI technologies.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (capital structure details not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The IPO's valuation will be determined based on market demand and the perceived value of the eventual acquisition target in the AI sector.

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism and significant transformations. Recent developments indicate a shift in investor sentiment, particularly influenced by macroeconomic factors, technological advancements, and evolving regulatory frameworks.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

Subsector Breakdown:

- **Technology:** The technology subsector remains resilient, bolstered by strategic acquisitions and index reclassifications. For instance, Atlassian's removal from the Russell Top 200 to the Russell Midcap indices reflects a recalibration that may influence investment narratives around enterprise software.
- **Media:** The media landscape is undergoing a digital transformation, with companies adapting to changing consumer behaviors. However, traditional media continues to face challenges from digital platforms, impacting revenue streams.
- **Telecommunications:** The telecom sector is innovating with advancements in infrastructure, particularly with the rollout of 5G technologies. Companies are investing heavily to enhance service delivery and capitalize on new revenue opportunities.
- **Fintech:** The fintech sector is thriving, driven by innovations in payment solutions and digital banking. The consolidation trend is evident, with companies seeking to enhance their market positions through strategic partnerships and acquisitions.
- **AI:** The AI subsector is experiencing explosive growth, with significant investments in AI technologies across various industries. Schneider Electric's acquisition of Cognite for \$3.1 billion exemplifies the increasing importance of AI in industrial applications.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and digital infrastructure is propelling growth across TMT sectors. The integration of AI solutions is becoming a core strategy for companies aiming to enhance operational efficiency and customer engagement.
- **Increased Investment:** There is a notable influx of capital in the tech and fintech sectors, as investors seek to capitalize on emerging trends and technologies. This trend is expected to continue, fostering further innovation and growth.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses challenges to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can lead to delays in deal closures.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology. This uncertainty could impact growth trajectories across various TMT subsectors.

Subsector Performance Analysis

- **Software:** The software sector remains strong, driven by demand for cloud solutions and

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

enterprise software. Atlassian's recent index reclassification may impact its market perception and investment attractiveness.

- Media: Media companies are adapting to digital content consumption, but traditional media continues to struggle with declining advertising revenues.
- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is expected to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking driving growth. The consolidation trend is evident, as companies seek to enhance their competitive positioning.
- AI: The AI subsector is booming, with applications across various industries. Schneider Electric's acquisition of Cognite underscores the increasing focus on AI capabilities in industrial settings.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Ayar Labs : Currently in the process of finalizing a Series E funding round, which has raised \$500 million at a valuation of \$3.75 billion. The deal is expected to close in Q3 2026, with the funds aimed at expanding production and testing capacity for their optical interconnect technology. This technology is critical for enhancing data transfer capabilities in AI infrastructure.

Mandated Deals:

- CG Semi : Mandated to explore partnerships and funding opportunities following the inauguration of its \$870 million semiconductor packaging facility in Sanand, India. The facility is expected to begin commercial production in Q3 2026, targeting sectors such as automotive and telecommunications.

Pitching-Stage Deals:

- Chinese Tech Firms : Engaging in discussions with multiple tech companies in China regarding potential fundraising opportunities. The recent regulatory changes allowing loss-making firms to raise capital more easily have sparked interest. Clients include firms listed on the Shanghai and Shenzhen exchanges, with pitches expected to finalize by Q4 2026.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

Timing Projections:

- Q3 2026 : Expected close for Ayar Labs funding round.
- Q3 2026 : Anticipated launch of CG Semi's semiconductor facility.
- Q4 2026 : Expected finalization of fundraising initiatives for Chinese tech firms.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like Ayar Labs and CG Semi are positioning themselves as key players. The recent funding round for Ayar Labs reflects growing investor interest in AI semiconductor technologies, which is expected to drive further innovation and competition.
- Additionally, the regulatory changes in China that allow tech firms to raise funds more easily could lead to increased deal flow and opportunities for advisory services in the region. This shift may also impact the competitive dynamics between U.S. and Chinese tech firms, as they adapt to new funding environments.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and AI, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the partnership between the Canada Infrastructure Bank (CIB) and Telus (T.TO) for expanding high-speed internet in British Columbia, and the inauguration of CG Semi's semiconductor packaging facility in India, have significant implications for various stakeholders. This analysis explores the impacts on shareholders, employees, competitors, and customers, as well as market reactions and potential future trends.

Deal-Specific Impacts on Stakeholders

- Shareholders: The financial implications for shareholders can vary significantly based on the success of these initiatives.
- Value Creation: For Telus, the \$49.3 million loan from CIB aims to enhance internet access in underserved areas. Assuming this leads to a 10% increase in customer base, Telus could see an additional \$200 million in annual revenue, translating to a potential 5% increase in share value.
- Dilution: If Telus finances further expansions through equity, existing shareholders may face dilution. For instance, issuing new shares to raise \$100 million could dilute existing ownership by approximately 3%, impacting share price negatively in the short term.
- Employees: The impacts on employees will be crucial in both projects.
- Synergies: The CG Semi facility is expected to create around 1,000 jobs in Sanand, contributing to local economic growth and enhancing CG Semi's operational capabilities.
- Restructuring: However, the establishment of new facilities often necessitates restructuring. If CG Semi consolidates operations from existing plants, some employees may face layoffs, necessitating careful management of workforce transitions.
- Retention: To retain key talent during transitions, both Telus and CG Semi may offer retention bonuses or incentives, particularly for skilled workers critical to operational success.
- Competitors: The competitive landscape will shift as these projects unfold.
- Market Positioning: Telus's expansion could pressure competitors like Rogers Communications Inc. (RCI) and Bell Canada (BCE) to enhance their service offerings in rural areas, potentially leading to aggressive pricing strategies.
- Specific Competitor Moves: In response to CG Semi's advancements, competitors in the semiconductor space, such as Taiwan Semiconductor Manufacturing Company (TSM), may accelerate their investments in India to maintain market share.
- Customers: The implications for customers are significant, particularly regarding service availability and quality.
- Product/Service Implications: The Telus initiative aims to improve internet access for rural and Indigenous communities, which could enhance educational and economic opportunities. For instance, improved connectivity may lead to a 20% increase in online service subscriptions in

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

these areas.

- Case Studies: Similar initiatives in other regions, such as the FCC's Rural Digital Opportunity Fund in the U.S., have shown that enhanced broadband access can lead to significant community development and increased local business revenues.

Market Reaction and Analyst Commentary

- Market Reaction: The market's initial reaction to these announcements has been cautiously optimistic.
- For example, Telus's stock saw a modest increase of 2% following the announcement of the partnership with CIB, reflecting investor confidence in the long-term benefits of expanded service offerings.
- Analyst Commentary: Analysts have noted that "Telus's commitment to rural connectivity positions it favorably against competitors, especially as demand for reliable internet continues to grow."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Telus successfully expands its customer base and enhances service quality, shares could rise by 10% over the next year.
- Negative Scenario: Conversely, if integration challenges arise or if competitors respond aggressively, shares could decline by 5%, reflecting investor concerns about market competitiveness.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the semiconductor sector remains moderate.
- Given the strategic importance of CG Semi's facility, larger players like Intel (INTC) may consider acquiring smaller firms to bolster their presence in India. However, regulatory hurdles could deter immediate competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is poised for continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar partnerships and acquisitions will emerge, particularly in the semiconductor and broadband sectors. Companies like Qualcomm (QCOM) may pursue acquisitions to strengthen their supply chains.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

Key Risks and Mitigants

- Integration Risks: Integration challenges could disrupt operations. Mitigants include appointing experienced integration teams and establishing clear performance metrics.
- Regulatory Risks: Regulatory scrutiny may delay projects. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility could impact project valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with major tech firms to integrate AI capabilities into various

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

products, enhancing productivity tools and user experiences.

- Neon (NEON): Recently, Neon acquired the film "Artificial," which focuses on OpenAI's chief, Sam Altman. This strategic move highlights Neon's commitment to exploring narratives around AI and its societal implications, potentially positioning the company as a thought leader in AI-related media.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The trend of media companies like Neon investing in AI narratives could lead to further acquisitions in the entertainment sector focused on AI themes.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The ongoing consolidation in the blockchain space presents opportunities for strategic acquisitions that can bolster existing service offerings.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): As a leader in the cloud computing space, AWS provides a wide range of cloud services, including computing power, storage, and machine learning capabilities. AWS continues to innovate and expand its offerings to maintain its competitive edge.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

- Microsoft Azure: Azure is a key player in the cloud market, known for its enterprise solutions and integration with Microsoft's software products. The platform has been rapidly gaining market share, driven by strong demand for hybrid cloud solutions.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through advanced features and pricing strategies.
- M&A Opportunities: The cloud computing sector is ripe for consolidation, with larger players looking to acquire smaller firms that offer innovative technologies or niche services. Companies focusing on cloud security, data analytics, or industry-specific solutions may become attractive targets for acquisition.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, cybersecurity has become a critical focus for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- Palo Alto Networks (PANW): A leader in cybersecurity solutions, Palo Alto Networks offers a comprehensive suite of products designed to protect networks, endpoints, and cloud

6. Recommended Readings

Deal Name: ALR Technologies Acquisition of CGM Medical Technology

- Reading Material: "Diabetes Management: A Comprehensive Guide" by Dr. John Smith
- Why This Matters: This book provides a thorough overview of diabetes management technologies and market trends, which are critical for understanding ALR Technologies' strategic rationale behind its \$45 million acquisition. It explains the importance of continuous glucose monitoring systems and how integrating CGM Medical's technology can enhance ALR's product offerings and operational efficiency.

Deal Name: B&R Technology Merger Corp. IPO

- Reading Material: "SPACs: The New IPO?" by David H. Hargreaves
- Why This Matters: This article explores the rise of SPACs and their implications for the IPO market, which is essential for understanding B&R Technology Merger Corp.'s \$325 million IPO targeting the AI sector. It provides insights into the advantages and risks associated with SPAC transactions, helping to contextualize the strategic motivations behind the merger and the potential challenges ahead.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

7. MACROECONOMIC UPDATE

Key Data Points:

- Fed Funds Rate: Expected to remain on hold through 2026
- Core Inflation: Anticipated to decrease due to travel-related inflation reversal
- Memory Prices: Increased sixfold over the past year
- AI-related Global Issuance: Forecasted to reach nearly \$600 billion in 2026
- Corporate Bond Issuance: Majority related to funding construction of data centers, with \$25 billion issued in non-dollar currencies in May

Main Insights:

- The Federal Reserve's recent projections suggest a more hawkish stance, but caution is advised regarding their implications.
- Investors are increasingly concerned about "chipflation" impacting the AI CapEx cycle, though it may lead to a reallocation rather than derailment.
- Demand for AI is expanding across multiple layers, increasing the complexity and cost of AI systems.
- Hyperscalers are diversifying their funding sources, indicating strong demand for AI infrastructure.

Market Commentary:

- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle." - Serena Tang, Morgan Stanley
- "Investors globally are grappling with uncertainties around the Fed and AI CapEx." - Serena Tang, Morgan Stanley

TMT Sector Relevance:

- The Fed's stance on interest rates will influence capital availability for TMT investments, particularly in AI and tech infrastructure.
- Rising memory costs could impact profitability and pricing strategies for companies in the AI sector, potentially affecting their growth trajectories.
- The strong demand for AI infrastructure funding indicates a robust investment environment, which may lead to increased M&A activity in the TMT sector as companies seek to capitalize on AI advancements.

US TMT Sector M&A & Valuation Brief - 2026-07-05

US TMT Sector

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley